

EG Agriculture: Agriculture prices set to rise as second Hormuz shock hits buffers

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Agriculture

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Agriculture prices set to rise as second Hormuz shock hits buffers

* The first Hormuz episode was primarily a logistics shock cushioned by inventories, pre-buying, and expectations of de-escalation, while the second will restrict supply on markets with already limited reserves.

* Agricultural markets are no longer drawing on accumulated inventories but instead competing for scarce physical supply, with global corn stocks down roughly 8% year-on-year, export restrictions covering up to 15% of global fertilizer trade, and a strengthening El Niño.

* The same geopolitical disruption will trigger a much larger price response, concentrated among fertilizer-dependent importers, key grain producers, and countries reliant on Gulf energy and nutrient supplies.

Large agricultural supply buffers made the first Strait of Hormuz closure appear manageable. Farmers and distributors had front-loaded fertilizer purchases ahead of the Northern Hemisphere planting season, commercial inventories were high across key importing regions, production facilities operated normally, and an active ceasefire process led markets to treat the disruption as temporary. Nitrogen fertilizer prices still jumped 50% in five weeks to above \$700 per metric ton, yet physical shortages did not materialize and prices fell back almost as quickly once the June ceasefire took hold.

These buffers absorbed the initial disruption and kept price increases relatively contained.

A second closure will catch buyers with empty warehouses and empty order books. After prices began to fall following the ceasefire, importers assumed that every week of waiting would bring lower costs. US retail nitrogen prices fell another 6% in early July. That strategy only works if peace holds. With blockades back in place, buyers that delayed purchases will now compete for the same product at the same time. A market that rewarded patience for months will now punish it. The grain safety net is also thinner, with US wheat carryover projected to fall by more than 20%.

Governments on both sides of the fertilizer trade are amplifying the shock. The World Trade Organization estimates that restrictions imposed since the first closure cover up to 15% of global fertilizer trade. China's bans will run through at least August. Russia's quotas favor friendly nations, while drone strikes on Russian plants have clouded phosphate supply through year-end. The US launched a \$500 million domestic production program on 1 July, and India approved incentives on 15 July for up to nine new urea plants after gas cuts cost it 800,000 tons of output in March alone. The one measure that moves supply now is Washington's temporary suspension of duties on Moroccan phosphate. Nothing else adds capacity soon. Instead, they suggest that no major government expects the market to normalize.

Weather patterns will make the fertilizer squeeze more costly. Unusually strong El Niño conditions will intensify through September and peak around the turn of the year, raising drought risk across the Indian subcontinent, Southeast Asia, and Australia. Reduced fertilizer application lowers yield potential, adverse weather will magnify those losses, and supply deficits could extend beyond a single season.

Renewed shipping disruption, tighter export controls, and a hostile growing season would turn what began as a temporary logistics problem into a global agricultural supply shock. Fertilizer prices would rise first, crop production would fall second, and food inflation would follow, with the poorest importers priced out of the market entirely.

Signposts to watch

- * Freight and insurance costs through the Gulf; the clearest real-time read on how much supply is actually moving.
- * New export restrictions; China's August phosphate review will determine whether the largest withheld volumes return to or stay off the market.
- * Purchasing by Brazil and India; large, simultaneous purchases and tenders would confirm that the rush has started and mark a turn in prices.
- * Operating rates at ammonia and urea plants; gas-starved producers cannot raise output to close the gap, so lower operating rates would worsen the shortage.
- * Commercial fertilizer inventories; the last cushion left, and once drawn down, price spikes start converting into physical shortages.
- * Weather in major producing regions; the variable that decides whether an expensive season becomes a short-harvest season.

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